

S001 - Account Decision Record: Tax Mapping Correction and Credit Notes

Decision Record | Business

Document ID	PRJ-S001-004	Seller ID	S001
Department	Business	Classification	CONFIDENTIAL
Owner	Aditya Verma	Created Date	2026-03-02
Related Scenario ID	SC-004	Document Type	Decision Record

1. Decision Summary

Field	Value
Decision ID	DR-2026-011
Seller	S001 - Aurelia Home Decor
Decision date	2026-03-02
Decision owner	Aditya Verma, Account Manager
Consulted	Rahul Sharma (Support), Operations settlement desk
Scenario	SC-004 - Tax invoice mismatch
Status	Approved and executed

Decision: re-issue credit notes for all 1,240 affected invoices, absorb the reconciliation difference of INR 2,17,600 at platform cost, and add a mandatory tax mapping validation to the listing workflow.

2. Context

On 24 February 2026 Aurelia’s finance team reported that invoices for decorative lighting SKUs listed since 1 February 2026 had been issued at an 18 percent tax rate rather than 12 percent. Support raised the ticket the same day and confirmed the pattern across 1,240 invoices.

The cause was a mapping gap rather than a calculation defect. Following an HSN revision, the 12 percent slab applied to a subset of decorative lighting products. Existing SKUs were remapped as part of the revision, but SKUs created after the revision were assigned the category default, which remained 18 percent.

Aurelia is unusually exposed to this class of error because it files GST returns using platform-generated invoices directly. An incorrect rate is not merely a reporting inconvenience; it produces an incorrect filing.

3. Options Considered

Option A - Re-issue credit notes and correct mapping at platform cost

Issue credit notes against the 1,240 incorrect invoices, re-issue at the correct rate, and absorb the INR 2,17,600 difference rather than recovering it from the seller or the buyer.

- Restores the seller’s filing position for the February period.
- Highest immediate cost to the platform.
- Cleanest audit trail: one corrective transaction per invoice.

Option B - Adjust prospectively and net the difference in settlement

Correct the mapping going forward and recover or credit the difference as a single settlement adjustment line, without re-issuing invoices.

- Cheaper to execute and faster.
- Leaves 1,240 incorrect tax documents in the seller's records.
- Rejected: it does not resolve the seller's filing exposure, which is the substance of the problem.

Option C - Ask the seller to raise buyer-level corrections

Place the correction burden on Aurelia.

- Lowest platform cost.
- Rejected: the defect was platform-side, and the Payment and Settlement

Policy (POL-FIN-002) places responsibility for the accuracy of platform-generated tax documents on the platform.

4. Decision and Rationale

Option A was approved. The determining factor was responsibility rather than cost: the tax document is generated by the platform, so its accuracy is a platform obligation under the Payment and Settlement Policy (POL-FIN-002). Recovering the difference from a seller who did not cause the error would have been inconsistent with that obligation and would have damaged a Gold-tier relationship over a sum that is immaterial at platform level.

A secondary consideration was timing. February is a filing month. Delaying a decision to negotiate cost-sharing would have pushed the correction past Aurelia's filing deadline and converted a recoverable error into a compliance problem for the seller.

5. Execution

Date	Action	Owner
2026-02-24	Issue confirmed, ticket raised	Rahul Sharma
2026-02-25	Seller call held, interim position communicated	Aditya Verma
2026-02-27	Tax category mapping corrected for affected SKUs	Operations
2026-03-02	Decision approved	Aditya Verma
2026-03-05	1,240 credit notes issued and re-invoiced	Operations
2026-03-09	Seller finance confirmed filing position restored	Aurelia
2026-03-18	Mapping validation control deployed	Engineering

6. Control Introduced

A listing cannot be published if its tax category resolves to the category default rather than to an explicit mapping. Where no explicit mapping exists, the listing is held and routed to the operations queue for classification.

This converts a silent default into an explicit blocking condition. It adds a small amount of operational work when a genuinely new product type is listed, which was accepted as proportionate.

7. Financial Effect

Item	Amount (INR)
Invoices affected	1,240
Tax difference absorbed	2,17,600
Recovery from seller	Nil
Recovery from buyer	Nil
Settlement impact	Recorded as a platform adjustment in the March cycle

8. Related Records

- Support ticket TKT-2026-0224-091 records what the seller reported.
- Call CALL-2026-0225-013 records the discussion with Aurelia's finance lead.
- The Payment and Settlement Policy (POL-FIN-002) defines platform responsibility for platform-generated tax documents.
- The S001 account overview summarises this scenario in the account history.

9. Review

This decision was reviewed on 30 June 2026 as part of the quarterly account review. The mapping validation control had blocked eleven listings across all sellers in the intervening period, of which nine were genuine new product types and two were mapping omissions that would previously have defaulted silently. The control was retained without change.